

InventOR: A Prompt-Configured, No-Fine-Tuning LLM Workflow for Material-Level Inventory Control

Aris Dressino^{a,*}

^a*TUM School of Management, Technical University of Munich, ArcisstraSse
21, Munich, 80333, Germany*

Abstract

We present *InventOR*, a prompt-configured large-language-model (LLM) workflow that generates material-level (r, Q) inventory policies from cutoff-bounded historical CSVs and inline parameter blocks through an enterprise LLM application, without project-specific model training or fine-tuning. Deterministic parsing and post-cutoff simulation evaluate each LLM artifact against an SAP-derived and an SAP-safety-lead-time-informed operations-research comparator on a common 346-pair cohort from a three-plant industrial dataset. All 365 eligible plant-material pairs yield scoreable, capacity-feasible artifacts after retry handling a complete-cohort result that eliminates silent dropout. Working-day simulation reports 77.52% demand-weighted aggregate fill and 97.94% mean material fill for the LLM-emitted arm. Positive lost-sales penalty sensitivities remove the zero-penalty cost advantage. Stored metadata do not establish the exact deployed prompt or model/runtime identity; the contribution is an evaluation protocol with transparent boundary specification, manifest hashing, and prespecified exclusion rules whose first complete execution demonstrates complete-cohort

*Corresponding author. Telephone: +49 89 289 25000.
Email address: aris.dressino@tum.de (Aris Dressino)

reporting and the controls required for prospective evaluation.

Keywords: Generative Artificial Intelligence, Large Language Models, Operations Research, Supply Chain Management, Decision Support Systems, Explainable AI, Inventory Control

1. Introduction

Supply chain planning operates under volatile demand, uncertain replenishment, and disruption exposure [1]. Many material-control decisions nevertheless still depend on simple parameters: reorder points, safety stock, order quantities, review periods, and sometimes safety lead time; these settings strongly affect service and inventory exposure [2, 3]. Classical operations research offers rigorous tools for stochastic and robust inventory decisions [4, 5, 6], but operational planners often need a narrower capability: converting imperfect historical records into transparent, defensible, and auditable material-level policy values [7].

Large language models (LLMs) can help connect business intent, operational evidence, and analytical workflows [8, 9]. In inventory control, however, recommendations require explainability, reproducibility, accountability, and meaningful human control before planners can act on them [10, 11]. This creates a practical design requirement for hybrid AI-supported OR systems: LLM artifacts must be inspectable, while their numeric recommendations require explicit simulation and human release controls [9, 11].

This paper addresses that requirement through *InventOR*, an operations-research-first workflow for material-level inventory decision support. An enterprise LLM application produces policy artifacts from material-scoped inputs; we parse and simulate their numeric values deterministically.

22 Our contribution is an evaluation protocol rather than a new inventory
23 model or solution algorithm. The comparator policies are standard textbook
24 constructions; what we add is a reusable, auditable procedure for deciding
25 whether LLM-emitted policy values are admissible and how they perform
26 against ERP-derived baselines on a common simulation horizon. Three com-
27 ponents make up that protocol.

28 **C1 Admissibility protocol for LLM-emitted policy artifacts.**

29 Material-specific inputs pass through a configured enterprise LLM
30 application without project-specific training or fine-tuning. De-
31 terministic scoreability and capacity checks decide admission; the
32 architecture reserves a planner release step, which we document as a
33 design requirement rather than an evaluated intervention [12].

34 **C2 Executable boundary specification.** We document the material-
35 input contract, alias-aware conversion, capacity validation, and simu-
36 lation boundary, so that a competing generator can be substituted and
37 scored under identical rules.

38 **C3 Complete-cohort reporting discipline.** All 365 eligible pairs from
39 233,078 parsed records yielded scoreable, capacity-feasible artifacts af-
40 ter retry handling; 346 pairs meet the common feasibility rules used
41 for the three-arm descriptive comparison. No pair is silently dropped,
42 and every exclusion rule is prespecified and reported.

43 The remainder of the paper is organised as follows. Section 2 reviews
44 related work and positions InventOR relative to recent AI-supported OR
45 contributions. Section 3 details the workflow, policy logic, and backtest
46 design. Section 4 reports completion and simulation results. Section 5 in-

47 interprets the findings and their limitations, and Section 6 summarises the
48 contribution and outlines future work.

49 **2. Literature Review**

50 Operations research has long addressed supply-chain uncertainty
51 through stochastic programming, robust optimization, and scenario-based
52 planning [4, 5, 6]. These methods formalize variability and recourse,
53 but operational inventory teams often face a more direct implementation
54 problem: maintaining reorder points, safety stock, safety lead time,
55 and order quantities from incomplete historical evidence in ERP-driven
56 planning environments [13, 14, 15, 16, 2, 3]. Static rules can be too
57 coarse, while sophisticated models can be difficult to explain and maintain.
58 This motivates decision support that keeps OR discipline while making
59 material-level parameter setting more transparent and auditable [7, 17].

60 Recent LLM research proposes natural-language interfaces, tool-using
61 agents, and pipelines that translate natural-language requests into opti-
62 mization model structures or executable code, including multi-agent systems
63 that make autonomous per-period inventory decisions [9, 18, 19, 20, 21, 22].
64 These approaches do not specify how inventory histories should be reduced
65 into demand regimes, lead-time diagnostics, service buffers, and feasible pol-
66 icy parameters with deterministic auditability.

67 We follow this hybrid view. We supply one filtered historical CSV for
68 the focal material plus an inline parameter block through an enterprise LLM
69 application. The intended prompt specification prohibits stochastic simula-
70 tion, machine-learning libraries, and unrestricted data fabrication, but the
71 stored run metadata do not independently identify the deployed prompt or

runtime. Because LLM outputs can contain fabricated or unfaithful content [23], our downstream parser uses alias-aware lookups and nested-field resolution before requiring numeric positive reorder point and order quantity, numeric non-negative safety stock, and a resolvable simulator family. No project-specific model fitting or fine-tuning is performed. We treat the LLM as an artifact-generation component inside a bounded decision process. Table 1 positions our framework relative to recent AI-supported OR and inventory-control work.

Table 1: Literature positioning: InventOR relative to recent AI-supported OR contributions for inventory and supply chain decision support.

Study	LLM role	Policy class	Demand model	Analytical result	Evaluation
Huang et al. [18]	NL→code	General OR	Not fied	speci- None	Benchmark
Ahmaditeshnizi et al. [20]	NL→model	General OR	Not fied	speci- Solver-linked	Benchmark
Zhang et al. [21]	Reasoning agent	General OR	Not fied	speci- Model solve	and Case studies
Quan and Liu [22]	Multi-agent control	Inventory	Sequential demand	Per-period decisions	Simulation
Prak et al. [24]	None	Inventory control	Compound Poisson / intermittent	Robust estimation	Empirical study
Babai et al. [25]	None	Forecasting-linked inventory	Regime-specific	Review thesis	syn- Review
Wasserkrug et al. [9]	Interface	General	Not fied	speci- None	Conceptual
Cohen et al. [19]	Vision	General SCM	Not fied	speci- None	Vision statement
InventOR	Prototype	(r, Q) executed; (s, S) implemented, unexercised	Artifact-defined values	Descriptive	Post-cutoff simulation

The table highlights the paper’s narrower contribution: material-level parameter artifacts evaluated by a deterministic policy-family simulator. Unlike InvAgent’s sequential multi-agent decisions, InventOR emits one stationary policy per material from a bounded historical package; unlike Opti-

MUS and OR-LLM-Agent, it does not formulate or solve general optimization models. The (r, Q) framework is the workhorse of the continuous-review inventory literature [13, 16]; the intermittent-demand stream represented by Prak et al. [24] builds on Croston [26] and Syntetos-Boylan [27] to handle sporadic, non-normal demand patterns which our current prototype does not explicitly model.

3. Methodology

The unit of analysis is a plant-material pair. The framework records a chain of custody from historical records to planner-facing policy values by separating deterministic input preparation, configured LLM inference, schema parsing, deterministic simulation, and human review [7, 28]. Each LLM session receives one filtered, material-scoped historical CSV as a session resource and a small inline parameter block containing current cost, MOQ, service, SAP reference, and material-level storage-capacity fields. No project-specific model weights are trained, fine-tuned, or updated. Because the stored metadata omit prompt hash, application version, and model/runtime identifier, this study does not claim that the exact deployed instruction configuration is independently reproducible. Supplementary File S1 reproduces the intended application-side system and tool prompt texts verbatim, together with their disclosed discrepancies against the executable simulator.

3.1. Problem Definition: Single-Item Continuous-Review Control with Stress-Adjusted Service Buffering

The executed task is a single-item, single-echelon continuous-review simulation with lost sales [14, 15, 29]. Each plant-material pair is treated in-

109 dependently; multi-item coupling, shared capacity, substitution, and pro-
 110 duction scheduling are outside the pilot. For the SAP-SLT-informed OR
 111 comparator, pre-cutoff working-day demand yields mean demand $\bar{d}_i$, annu-
 112 alized demand $\bar{D}_i^{\text{ann}} = 250\bar{d}_i$, lead-time-demand dispersion, and stationary
 113 (R_i, Q_i) parameters. This comparator is not independent of ERP inputs be-
 114 cause source SAP safety lead time enters effective lead time. For the SAP-
 115 derived arm, source safety stock is retained while R_i and Q_i are recomputed
 116 by the same executable routines. For the LLM arm, scoreable policy pa-
 117 rameters originate directly in the artifact and pass alias-aware compatibility
 118 parsing plus strict executable-contract validation; the reference equations
 119 below do not reconstruct them. The simulator executes validated (r, Q) ar-
 120 tifacts as fixed-quantity policies and validated (s, S) artifacts as order-up-to
 121 policies. In this study all 365 scoreable artifacts resolved to the (r, Q) fam-
 122 ily after validation, so the order-up-to path is an available but unexercised
 123 capability rather than an evaluated result.

124 *Reference policy calculation.* The following equations describe the executed
 125 SAP-SLT-informed OR comparator; they do not reconstruct direct LLM-
 126 emitted policies. The order quantity $Q_i > 0$ is rounded upward to an integer,
 127 floored at source MOQ, and then projected to its material-level storage limit
 128 when possible. The reorder point $R_i \geq 0$ triggers replenishment. The EOQ
 129 anchor minimizes the standard annual cost approximation

$$\min_{Q_i} TC_i(Q_i; SS_i) = h_i \left(\frac{Q_i}{2} + SS_i \right) + K_i \frac{\bar{D}_i^{\text{ann}}}{Q_i},$$

130 where SS_i is arm-specific safety stock, $h_i = \text{holding_cost_rate}_i \cdot$
 131 unit_cost_i , and $K_i = \text{ordering_cost}_i$. The implementation first uses
 132 $Q_i = \max\{\text{MOQ}_i, \lceil \sqrt{2K_i(250\bar{d}_i)/h_i} \rceil\}$ when demand and ordering cost are

133 positive, and MOQ otherwise. For every arm, a supplied capacity requires
 134 $\text{MOQ}_i \leq Q_i$ and $SS_i + Q_i \leq \text{max_storage_units}_i$; comparator quantities
 135 above the residual limit are reduced, while pairs with $SS_i + \text{MOQ}_i$ above
 136 the limit are excluded from the common cohort. The SAP-SLT-informed
 137 OR safety stock is $SS_i = \lceil z_{\alpha_i} \sigma_{LTD,i} \rceil$, with $R_i = \lceil \bar{d}_i L_i^{\text{eff}} + SS_i \rceil$. The
 138 SAP-derived arm substitutes source SAP safety stock into the same reorder-
 139 point expression. No lot-size multiple or stress coefficient is executed. The
 140 primary holding/order cost has a zero shortage penalty; positive lost-sales
 141 penalties are sensitivity analyses.

142 *Core constraints.* Inventory evolves under a lost-sales continuous-review rule
 143 on the working-day decision set $\mathcal{W}$. All arms share the first observed post-
 144 cutoff on-hand inventory; the SAP-SLT-informed OR $R_i + Q_i$ is used only
 145 when that observation is unavailable. The initial on-order pipeline is empty.
 146 Duplicate same-material, same-date rows are aggregated by summing de-
 147 mand, receipts, corrections, and scrap and averaging positive lead times,
 148 but the simulator consumes only demand and excludes observed receipts,
 149 corrections, and scrap. The simulator rounds mean source lead time and
 150 schedules every modeled order by that number of subsequent working ob-
 151 servations:

$$I_{i,t} = \max(0, I_{i,t-1} + a_{i,t} - d_{i,t}), \quad t \in \mathcal{W},$$

152 where $a_{i,t}$ is the quantity whose working-day due observation is no later than
 153 t . Scheduled arrivals are added first, realized demand is served subject to
 154 lost sales, and the post-demand inventory position is computed as on-hand
 155 plus outstanding orders. For a validated (r, Q) artifact, a fixed quantity is

156 ordered when

$$\delta_{i,t} = \mathbf{1}\{\text{IP}_{i,t}^+ \leq R_i\}, \quad \text{IP}_{i,t}^+ = I_{i,t} + \sum_{s: \text{due}(s) > t} o_{i,s},$$

157 with $o_{i,t} = Q_i \delta_{i,t}$. For a validated (s, S) artifact, the same threshold test
 158 uses s_i , and an order of $S_i - \text{IP}_{i,t}^+$ is placed when positive; no artifact in
 159 this study triggered that branch. Orders due after the observed horizon
 160 remain in transit rather than being forced onto the final observation. Pa-
 161 rameters remain stationary. Shared observed initialization and the empty
 162 initial pipeline are part of the executed comparison design.

163 The reorder point targets a nominal cycle service level $\alpha_i \in [0.5, 0.999]$
 164 after numeric clamping. Under the normal approximation,

$$\mathbb{P}(D_{i,L_i^{\text{eff}}} \leq R_i) \geq \alpha_i \iff R_i \geq \bar{d}_i L_i^{\text{eff}} + z_{\alpha_i} \sigma_{LTD,i}.$$

165 The reported backtest metric is the ex-post fill rate, which is distinct from
 166 the nominal cycle-service target because it also depends on Q_i and realized
 167 demand [30].

168 Lead-time-demand variance is propagated under the demand and lead-
 169 time independence approximation,

$$\sigma_{LTD,i}^2 = L_i^{\text{eff}} \sigma_{D,i}^2 + \bar{d}_i^2 \sigma_{L,i}^2.$$

170 The executed SAP-SLT-informed OR buffer is

$$SS_i^{\text{OR}} = z_{\alpha_i} \sigma_{LTD,i},$$

171 with values rounded upward:

$$SS_i^{\text{OR}} = \lceil z_{\alpha_i} \sigma_{LTD,i} \rceil, \quad R_i = \lceil \bar{d}_i L_i^{\text{eff}} + SS_i^{\text{OR}} \rceil.$$

172 The executable statistics add non-negative source SAP safety-lead-time days
 173 to mean lead time when constructing comparator lead-time-demand disper-
 174 sion (Section 3.5 discusses this confound). LLM-emitted values remain ar-
 175 tifact values accepted by alias-aware parsing and strict executable-contract
 176 validation.

177 *Parser and review boundary.* Artifact policy labels determine simulator
 178 routing after validation. The parser resolves compatibility aliases, then
 179 requires a valid (r, Q) tuple or explicit s and S values for an (s, S) label;
 180 it rejects malformed, infeasible, or internally inconsistent artifacts. It does
 181 not execute label-specific optimization or deterministic escalation. Because
 182 no artifact supplied explicit and internally consistent s and S values, every
 183 scored policy in this study was executed as (r, Q) ; the reported evidence
 184 therefore concerns fixed-quantity control only. Planner review remains
 185 required before any operational use.

186 3.2. Historical Input Schema and Canonical Analysis Table

187 The source table is grouped by plant and material, but the uploaded
 188 material CSV contains only the subset listed in Table 2. Plant and material
 189 identifiers are carried by the run key and inline block rather than repeated in
 190 the uploaded rows. The inline block also passes current cost, MOQ, service,
 191 SAP reference, working-day demand, lead-time, and material-level storage-
 192 capacity variables. Deterministic preprocessing supplies input normaliza-
 193 tion, eligibility filters, and simulator statistics. Stock-flow fields omitted

194 from the uploaded subset are not analyzed by the executed LLM path.

Table 2: Fields included in the material-scoped CSV uploaded by the executed runner.

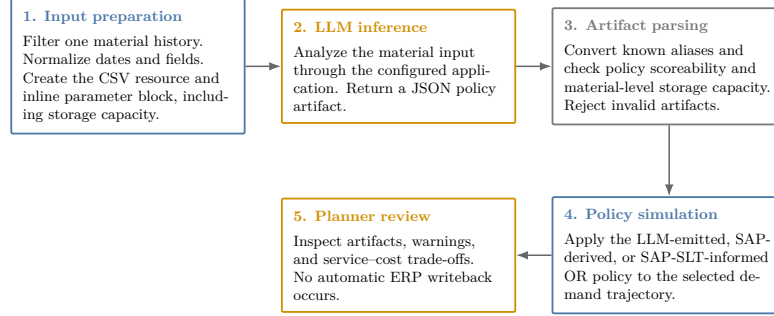
Column	Type	Description and method use
date	date / datetime	Calendar observation date; time ordering, aggregation, and diagnostics
actual_demand	numeric	Realized demand; mean, variability, intermittency, trend, and regime classification
delivery_time	numeric	Recorded replenishment lead time; rounded and scheduled as subsequent working observations by the simulator
minimum_order_quantity	numeric	Minimum replenishment quantity; order-size feasibility constraint
safety_stock_units	numeric	Existing safety stock; benchmarking against computed recommendations
safety_time_ workdays_actual	numeric	Source SAP safety-lead-time field; currently enters comparator effective lead time
supplier_plant_ distance	numeric	Supplier-to-plant distance; contextual lead-time-risk information
reliability_calc	numeric	Source supplier or lane reliability context
transportation_network	string	Source transportation-network context
service_level_target	numeric	Source service target used by comparator calculations
unit_cost	numeric	Purchase or standard cost per unit in the source dataset's internal cost denomination; inventory-value proxy and input to holding-cost derivation and EOQ calculation
holding_cost_rate	numeric	Annual carrying-cost rate as a decimal (e.g., 0.20 for 20% of unit value); used to derive the annual cost of carrying one unit in stock, balance replenishment frequency against stock exposure, and compute economic order quantity
ordering_cost	numeric	Fixed replenishment cost in the source dataset's internal cost denomination; input to EOQ calculation and simulated material-horizon holding/order cost
max_storage_units	numeric	Material-level upper bound applied to all evaluated arms: $MOQ \leq Q$ and $SS + Q \leq \text{max_storage_units}$
is_working_day	binary	Working-day flag; working-day demand statistics and non-zero demand share

195 3.3. Analytical Workflow

196 The workflow transforms a historical material snapshot into a policy ar-
197 tifact through deterministic preparation, LLM inference, parsing, and sim-
198 ulation (Figure 1).

InventOR prototype workflow

Executed material-level path from prepared history to planner-reviewable simulation output.



Deterministic components reproduce simulation results from stored artifacts; LLM inference itself may vary.

Figure 1: Prototype workflow from material input preparation to policy artifact and simulation output.

199 The runner uploads a normalized material CSV and inline block; the
 200 configured application returns a JSON artifact. The parser converts ac-
 201 cepted fields to an executable (r, Q) or (s, S) policy and rejects malformed
 202 or infeasible outputs. Missing or invalid artifacts are recorded and retried.
 203 The simulator evaluates accepted LLM values, SAP-derived values, and the
 204 SAP-SLT-informed OR policy on the common horizon. An aggregate-only
 205 manifest records active-input, evaluation-code, and stored-artifact hashes;
 206 it explicitly records unavailable historical deployed prompt, application,
 207 model/runtime, setting, and timestamp metadata. Current runner code
 208 records these fields for future runs when the corresponding environment vari-
 209 ables are supplied. The author declares retrospectively that the evaluated
 210 artifacts were produced with an Anthropic Claude Sonnet 4.6 model behind
 211 the enterprise application, using a code-interpreter style Python execution
 212 tool; this declaration is recorded in the manifest as unverified because no
 213 deployed model identifier or generation settings were persisted at run time,
 214 and it must not be read as machine-verified provenance. Stored inputs,

artifacts, and code reproduce a recorded simulation, but not a fresh LLM completion; planners retain implementation authority.

3.4. *Artifact Completeness and Future Readiness*

The completeness audit asks whether each eligible pair has a scoreable artifact after retries; it does not estimate first-pass reliability, explanation completeness, or deployment readiness. The empirical section is a retrospective audit of an already-executed workflow rather than a controlled experiment: the generation cohort was produced before the evaluation protocol was finalized, the deployed configuration was not frozen or instrumented in advance, and no treatment was assigned. The post-cutoff simulation uses artifacts generated exclusively from pre-cutoff inputs and is descriptive rather than a controlled prospective trial [31, 32]. A future evaluation must freeze the deployed configuration, model/runtime identifiers, access controls, and approval workflow.

3.5. *Safety Lead Time Computation*

Safety lead time (SLT) is an ancillary ERP-facing design field. The prototype specification proposes combining transport, supplier, and quality lead-time variability with a reliability-deficit premium [14, 3], but the present release does not document estimators for those components. In the executed comparator code, non-negative source SAP safety-lead-time days are added to mean lead time before computing both SAP-derived and OR-computed dispersion and reorder points (this coupling is also flagged in Section 3.1). The OR arm is therefore labelled SAP-SLT-informed, and no separate SLT effect is identified.

239 3.6. *Post-Cutoff Policy Simulation*

240 The confidential operational extract contains 233,078 parsed CSV
241 records, 411 plant-material pairs, and three anonymized plants (Plant
242 A, Plant B, and Plant C). The parameter cutoff is 2026-03-10 and the
243 post-cutoff simulation horizon ends on 2026-08-27. Eligibility filters retain
244 365 plant-material pairs with sufficient pre-cutoff and post-cutoff evidence:
245 234 from Plant A, 65 from Plant B, and 66 from Plant C. Plant C has
246 no positive source working-day flags, so its calendar flags are derived
247 from same-date Plant A and Plant B votes; ties classify as working
248 days. This deterministic repair permits a common decision calendar;
249 because no alternative Plant C calendar exists, robustness is examined by
250 reporting calendar-day arrivals and by re-running the full comparison on
251 the native-calendar subset that excludes Plant C entirely. SAP-derived and
252 SAP-SLT-informed OR parameters use pre-cutoff information. Stored LLM
253 artifacts were generated from cutoff-bounded pre-cutoff inputs, so every
254 arm is evaluated on the same post-cutoff horizon. Nineteen pairs cannot
255 meet comparator safety stock plus MOQ within their supplied capacity;
256 these are excluded before the common 346-pair comparison.

257 The simulated arms are: (i) SAP-derived, retaining source SAP safety
258 stock while recomputing reorder point and EOQ order quantity from pre-
259 cutoff statistics; (ii) SAP-SLT-informed OR, using the same statistics, source
260 safety-lead-time input, and feasibility rules but without LLM inference; and
261 (iii) LLM-emitted, a validated (r, Q) or (s, S) artifact. The simulator is
262 continuous-review and lost-sales: all arms begin with the same first observed
263 post-cutoff on-hand inventory, using the OR $ROP + Q$ only as a shared fall-
264 back. The initial on-order pipeline is empty. On each working row, modeled
265 arrivals due after rounded mean working-day lead time are received, demand

is served subject to lost sales, post-demand inventory position is checked, and a policy-specific order is placed if its threshold is met. Observed post-cutoff receipts, corrections, and scrap are excluded. This common startup design may create cutoff transients. Metrics are fill rate, aggregate demand-weighted fill rate, materials above 95% fill, zero-stockout materials, stockout days, average on-hand inventory, and simulated material-horizon cost.

For policy p and material i , the cost summaries use the simulated horizon of T_i working days. Let $\bar{I}_{i,p}$ be average on-hand inventory, h_i annual holding cost per unit, K_i fixed ordering cost, and $n_{i,p}^{\text{orders}}$ simulated orders. The implementation uses a constant 250 annual working days and computes

$$TC_{i,p} = h_i \bar{I}_{i,p} \frac{T_i}{250} + K_i n_{i,p}^{\text{orders}}.$$

This is a simulated material-horizon holding/order cost in the source dataset’s internal cost denomination, not an audited annual financial or booked accounting result. Table 3 reports arithmetic means across the cohort with zero shortage penalty. Sensitivities add lost-sales penalties of one and five times source unit cost; cost values must be read jointly with fill rate and stockout days.

4. Results

4.1. Completion and Artifact Validity

The final execution produced parser-scoreable artifacts for all 365 eligible plant-material pairs with zero missing and zero parser-rejected outputs after retry handling. Every artifact passes alias-aware parsing, nested-field resolution, and capacity validation against the supplied material-level storage bound; all resolve to the (r, Q) family after validation.

289 4.2. Main Three-Arm Exploratory Simulation

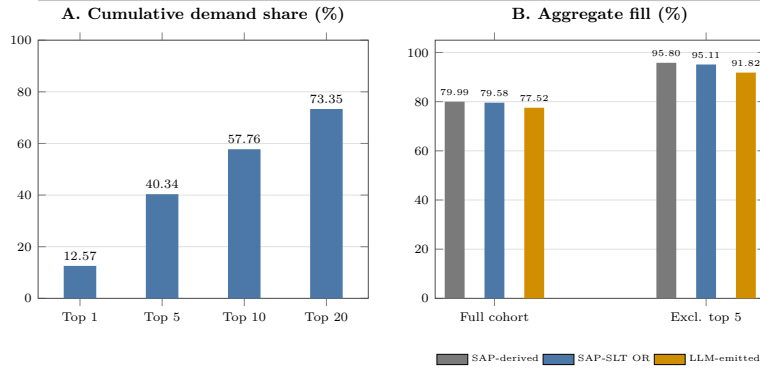
290 Table 3 reports three policy arms on the same 346 common-feasible mate-
 291 rial trajectories under working-day post-cutoff simulation. All arms satisfy
 292 identical MOQ and supplied per-material storage rules; 19 otherwise eli-
 293 gible pairs whose comparator safety stock plus MOQ exceed capacity are
 294 excluded.

Table 3: Post-cutoff working-day simulation on 346 common-feasible plant-material pairs. All arms use pre-cutoff parameterization or cutoff-bounded inputs and satisfy identical MOQ and supplied storage rules. Cost is mean simulated material-horizon holding/order cost with zero shortage penalty. SO days is the total count of stockout days across the cohort.

Policy	n	Mean FR (%)	Agg. FR (%)	$\geq 95\%$ (%)	Zero SO (%)	Mean cost	SO days
SAP-derived	346	98.38	79.99	94.51	80.35	3,184.20	741
SAP-SLT OR	346	98.27	79.58	93.93	88.73	3,852.22	799
LLM-emitted	346	97.94	77.52	92.49	81.50	2,848.96	936

Demand concentration and fill sensitivity

Largest-demand materials strongly influence full-cohort aggregate fill.



Generated from the working-days primary backtest; common-feasible cohort n=346.

Figure 2: Demand concentration and aggregate-fill sensitivity. Panel A reports cumulative demand share for the largest materials. Panel B compares full-cohort aggregate fill with the value after excluding the five largest-demand materials.

295 Relative to SAP-derived, LLM-emitted policies have 2.48 percentage
 296 points lower aggregate fill, 335.24 lower mean holding/order cost, and 195

297 additional stockout days. Relative to SAP-SLT-informed OR, they have 2.07
 298 percentage points lower aggregate fill, 1,003.26 lower mean holding/order
 299 cost, and 137 additional stockout days. These values describe one simulated
 300 cohort, not a definitive ranking or an economic preference.

301 Aggregate evidence is demand-concentrated. The largest 1, 5, 10, and
 302 20 materials contribute 12.57%, 40.34%, 57.76%, and 73.35% of post-cutoff
 303 demand. Excluding the five largest-demand materials raises aggregate fill
 304 to 91.82% for LLM-emitted, 95.80% for SAP-derived, and 95.11% for SAP-
 305 SLT-informed OR, versus 77.52–79.99% in the full cohort (Figure 2). Thus,
 306 the largest-demand items drive aggregate fill and should not be obscured by
 307 cohort averages.

308 At material level, LLM-emitted fill is not lower than SAP-derived for
 309 314 of 346 materials (90.8%), while its cost is no higher for 238 (68.8%);
 310 both conditions hold for 211 (61.0%). Against SAP-SLT-informed OR,
 311 the corresponding counts are 309 (89.3%), 303 (87.6%), and 269 (77.7%).
 312 Paired LLM-minus-comparator fill differences have first quartile, median,
 313 and third quartile of 0.00 percentage points for both comparators, reflecting
 314 many exact fill ties. Corresponding cost differences are -259.24 , -47.17 ,
 315 and 34.96 versus SAP-derived and -787.83 , -209.32 , and -25.26 versus
 316 SAP-SLT-informed OR. A deterministic 10,000-resample paired bootstrap
 317 gives LLM-minus-SAP fill and cost means of -0.44 percentage points (95%
 318 interval $[-0.99, -0.02]$) and -335.24 (95% interval $[-629.16, -105.29]$);
 319 against SAP-SLT-informed OR, the corresponding values are -0.33
 320 percentage points ($[-0.89, 0.14]$) and $-1,003.26$ ($[-1,363.81, -705.03]$).
 321 These descriptive resampling intervals and aggregate results jointly show
 322 service–cost trade-offs rather than uniform policy ranking.

323 The artifact audit covers all 365 scoreable policies: normalized policy-

324 family agreement is 90.68%, and 42 artifacts meet a prespecified diagnostic-
 325 outlier rule (CV absolute error above 0.75 or LLM-to-pipeline safety-stock
 326 ratio outside $[0.5, 2.0]$). Removing the 23 flagged artifacts present in the
 327 common cohort raises LLM aggregate fill from 77.52% to 79.55%, while
 328 SAP-derived reaches 80.08% and SAP-SLT-informed OR reaches 79.70%;
 329 this post-hoc diagnostic subset does not establish a causal correction. Re-
 330 placing primary working-day receipt offsets with calendar-day offsets gives
 331 aggregate fills of 77.77%, 80.25%, and 79.84%, respectively. Removing the
 332 one plant whose source working-day flags are entirely absent, and whose
 333 calendar is therefore imputed, leaves 280 native-calendar pairs with aggre-
 334 gate fills of 74.03% for LLM-emitted, 76.55% for SAP-derived, and 76.35%
 335 for SAP-SLT-informed OR, mean material-level fills of 98.19%, 98.71%, and
 336 98.54%, zero-stockout shares of 81.79%, 88.21%, and 90.71%, and mean
 337 holding/order costs of 2,893.68, 3,471.66, and 4,168.76. In this native-
 338 calendar subset both comparators retain higher fill and higher zero-stockout
 339 shares than the LLM arm, so the imputed calendar does not manufacture the
 340 observed service gap. With a lost-sales penalty of one times unit cost, mean
 341 total costs are 1,688,922.75, 1,631,321.28, and 1,692,746.91, respectively; at
 342 five times unit cost, they are 8,433,217.92, 8,143,869.56, and 8,448,325.64.
 343 Thus, zero-penalty holding/order cost cannot establish economic superiority.
 344 These sensitivities do not resolve empty-pipeline, excluded-flow, or calendar-
 345 repair limitations.

346 5. Discussion

347 We identify three findings as the principal scientific contribution. First,
 348 100% of 365 eligible plant-material pairs yield scoreable, capacity-feasible

349 policy artifacts after retry handling a complete-cohort result that eliminates
 350 silent dropout and establishes a benchmark for future LLM-based inventory
 351 studies. Second, all scored artifacts resolve to the (r, Q) family; the LLM
 352 constructs every policy value from only the material-scoped history and
 353 parameter block, while both comparators are warm-started from ERP set-
 354 tings that embed accumulated planner judgment. The observed aggregate-
 355 fill deficit of roughly two percentage points, and the higher stockout-day
 356 count (936 versus 741 for SAP-derived and 799 for SAP-SLT-informed OR),
 357 are therefore cold-start characteristics of a generator that receives no safety-
 358 stock legacy or safety-lead-time input. An ERP-independent cold-start OR
 359 arm is the comparator required to isolate generator quality and is specified
 360 as a future-work requirement. Third, positive lost-sales penalty sensitivi-
 361 ties remove the zero-penalty cost ranking, confirming that the apparent cost
 362 advantage is driven by the penalty assumption rather than by generator
 363 quality.

364 The evaluation protocol itself is the reusable contribution. An aggregate-
 365 only manifest hashes active inputs, evaluation code, and stored artifacts,
 366 while explicitly flagging unavailable provenance fields. The input-contract
 367 specification, alias-aware parser, capacity-validation rules, and the full ex-
 368 clusion log form a reproducible boundary within which any LLM or OR
 369 generator can be substituted and scored under identical rules. The tracked
 370 historical 315-material snapshots are byte-identical rather than distinct gen-
 371 eration replicates [33]; the two replication runs launched for this manuscript
 372 provide the cohort-scale generation-variance estimate that those snapshots
 373 cannot.

374 We acknowledge that our study is bounded by a single anonymized three-
 375 plant dataset, one generation configuration, and a post-cutoff simulation

376 that excludes observed receipts, corrections, and scrap with an empty initial
377 pipeline. These are explicit design choices, not undisclosed weaknesses. The
378 contribution is the protocol and its first complete execution, not a perfor-
379 mance claim.

380 6. Conclusion

381 We present *InventOR*, an applied AI/OR prototype that treats LLMs as
382 candidate-policy generators within deterministic preparation, parsing, and
383 simulation. Our framework preserves an inspectable link between mate-
384 rial histories, policy fields, and simulated outcomes without project-specific
385 model training or fine-tuning.

386 The executed artifact set contains 365 scoreable policies generated from
387 cutoff-bounded, pre-cutoff material histories, all satisfying their material-
388 level storage bounds. On the 346-pair cohort where all arms satisfy identi-
389 cal MOQ and supplied storage rules, LLM-emitted aggregate fill is 77.52%,
390 mean material-level fill is 97.94%, mean simulated material-horizon hold-
391 ing/order cost is 2,848.96, and stockout days total 936 under working-day
392 receipt scheduling. The warm-start asymmetry explains the fill deficit and
393 higher stockout-day count relative to ERP-informed comparators. Positive
394 shortage-cost sensitivities remove the zero-penalty cost advantage. These
395 values are descriptive simulated-comparison evidence, not deployment or
396 production-trial evidence.

397 Future work should supply an ERP-independent cold-start OR arm, re-
398 peat inference at cohort scale to estimate generation variance, extend the ad-
399 missible policy family beyond (r, Q) to order-up-to and intermittent-demand
400 regimes, and run a prospective evaluation with planner-in-the-loop review

401 and fixed instrumentation. An ex-ante diagnostic-outlier exclusion rule and
402 a documented SLT-component estimator belong in the same evaluation pro-
403 tocol upgrade.

404 **Author Contributions**

405 Conceptualization, Methodology, Software, Formal analysis, Validation,
406 Visualization, Writing – original draft, Writing – review and editing: Aris
407 Dressino.

408 **Funding**

409 This research did not receive any specific grant from funding agencies in
410 the public, commercial, or not-for-profit sectors.

411 **Declaration of Competing Interest**

412 The author declares no known competing financial interests or personal
413 relationships that could have appeared to influence the work reported in this
414 paper.

415 **Data and Code Availability**

416 The raw operational data and material-level artifacts cannot be publicly
417 released because they contain commercially sensitive material, supplier, and
418 planning information. A confidentiality-screened release package contain-
419 ing analysis code, the anonymized variable schema, aggregate evaluation
420 results, manuscript sources, and aggregate integrity manifest is available
421 at github.com/DressPD/inventor_public. The release package is addi-
422 tionally deposited in a Zenodo archive whose version-specific DOI will be

423 registered at acceptance and cited in the final version of record; the GitHub
424 repository is the development mirror and the Zenodo deposit is the citable
425 archival copy. Supplementary File S1 accompanies this submission and con-
426 tains the intended application-side prompt specification. The historical de-
427 ployed application configuration, model/runtime identifier, inference dates,
428 and prompt hashes were not preserved and are not claimed as available; the
429 current runner records these fields for future executions.

430 **7. Acknowledgments**

431 The author thanks the industrial collaborators and material-control ex-
432 perts who contributed domain knowledge and access to anonymized oper-
433 ational data. The author also acknowledges the associated enterprise data
434 and IT teams for supporting data access and prototype execution. No for-
435 mal full-population planner evaluation is claimed. Any errors or omissions
436 remain the responsibility of the author.

437 **Declaration of Generative AI and AI-Assisted Technologies in the** 438 **Writing Process**

439 During manuscript preparation, the author used OpenAI GPT-5.6
440 through OpenCode for language editing, consistency checks, citation
441 review, and LaTeX proofing support; this is a writing-assistance tool and
442 is distinct from the Anthropic Claude Sonnet 4.6 deployment evaluated in
443 the research workflow. The author reviewed and edited the content after
444 use and takes full responsibility for the content of the published article.
445 Figures were rendered deterministically from author-reviewed LaTeX and
446 Python source; generative AI did not directly create or manipulate image

447 content. The research workflow evaluated in the paper is itself the object
448 of study and is described separately in the methodology.

449 References

- 450 [1] S. Sengupta, P. Jonsson, H. Dreyer, R. Kaipia, T. Y. Choi, Uncertainty regula-
451 tion and adaptable supply chain planning, *International Journal of Operations*
452 *& Production Management* 45 (11) (2025) 1861–1883.
- 453 [2] E. T. Grasso, B. W. Taylor, A simulation-based experimental investigation of
454 supply/timing uncertainty in MRP systems, *International Journal of Produc-*
455 *tion Research* 22 (3) (1984) 485–497. doi:10.1080/00207548408942468.
- 456 [3] T. J. van Kampen, D. P. van Donk, D.-J. van der Zee, Safety stock
457 or safety lead time: coping with unreliability in demand and supply,
458 *International Journal of Production Research* 48 (24) (2010) 7463–7481.
459 doi:10.1080/00207540903348346.
- 460 [4] D. Bertsimas, A. Thiele, A robust optimization approach to inventory theory,
461 *Operations Research* 54 (1) (2006) 150–168. doi:10.1287/opre.1050.0238.
- 462 [5] A. Thorsen, T. Yao, Robust inventory control under demand and lead time
463 uncertainty, *Annals of Operations Research* 257 (1) (2017) 207–236.
- 464 [6] D. Zhang, H. H. Turan, R. Sarker, D. Essam, Robust optimization approaches
465 in inventory management: Part A—the survey, *IIE Transactions* 57 (7) (2025)
466 818–844.
- 467 [7] A. J. Mersereau, Information-sensitive replenishment when inventory records
468 are inaccurate, *Production and Operations Management* 22 (4) (2013) 792–
469 810.
- 470 [8] T. Boone, B. Fahimnia, R. Ganeshan, D. M. Herold, N. R. Sanders, Gener-
471 ative AI: Opportunities, challenges, and research directions for supply chain

- 472 resilience, *Transportation Research Part E: Logistics and Transportation Re-*
 473 *view* 199 (2025) 104135.
- 474 [9] S. Wasserkrug, L. Boussioux, D. Den Hertog, F. Mirzazadeh, Ş. İ. Birbil,
 475 J. Kurtz, D. Maragno, Enhancing decision making through the integration of
 476 large language models and operations research optimization, in: *Proceedings*
 477 *of the AAAI Conference on Artificial Intelligence*, Vol. 39, 2025, pp. 28643–
 478 28650.
- 479 [10] S. Amershi, D. Weld, M. Vorvoreanu, A. Fournay, B. Nushi, P. Collisson,
 480 J. Suh, S. Iqbal, P. N. Bennett, K. Inkpen, et al., Guidelines for human-AI
 481 interaction, in: *Proceedings of the 2019 CHI Conference on Human Factors in*
 482 *Computing Systems*, 2019, pp. 1–13.
- 483 [11] I. D. Raji, A. Smart, R. N. White, M. Mitchell, T. Gebru, B. Hutchinson,
 484 J. Smith-Loud, D. Theron, P. Barnes, Closing the AI accountability gap:
 485 Defining an end-to-end framework for internal algorithmic auditing, in: *Pro-*
 486 *ceedings of the 2020 Conference on Fairness, Accountability, and Transparency*,
 487 2020, pp. 33–44. doi:10.1145/3351095.3372873.
- 488 [12] P. Sahoo, A. K. Singh, S. Saha, V. Jain, S. Mondal, A. Chadha,
 489 A systematic survey of prompt engineering in large language mod-
 490 els: Techniques and applications, *arXiv preprint arXiv:2402.07927* (2024).
 491 doi:10.48550/arXiv.2402.07927.
- 492 [13] G. Hadley, T. M. Whitin, *Analysis of Inventory Systems*, Prentice-Hall, En-
 493 glewood Cliffs, NJ, 1963.
- 494 [14] E. A. Silver, D. F. Pyke, D. J. Thomas, *Inventory and Production Management*
 495 *in Supply Chains*, 4th Edition, CRC Press, Boca Raton, FL, 2017.
- 496 [15] P. H. Zipkin, *Foundations of Inventory Management*, McGraw-Hill, New York,
 497 2000.

- 498 [16] E. L. Porteus, Foundations of Stochastic Inventory Theory, Stanford University
499 Press, Stanford, CA, 2002.
- 500 [17] Y. Kang, S. B. Gershwin, Information inaccuracy in inventory systems: stock
501 loss and stockout, IIE transactions 37 (9) (2005) 843–859.
- 502 [18] C. Huang, Z. Tang, S. Hu, R. Jiang, X. Zheng, D. Ge, B. Wang,
503 Z. Wang, ORLM: A customizable framework in training large models for auto-
504 mated optimization modeling, Operations Research 73 (6) (2025) 2986–3009.
505 doi:10.1287/opre.2024.1233.
- 506 [19] M. C. Cohen, T. Dai, G. Perakis, N. Agrawal, G. Allon, R. N. Boute, G. P.
507 Cachon, Z. Chen, M. Cohen, R. Cristian, et al., OM Forum—Supply Chain
508 Management in the AI Era: A vision statement from the operations manage-
509 ment community, Manufacturing & Service Operations Management 28 (3)
510 (2026) 687–705. doi:10.1287/msom.2025.1065.
- 511 [20] A. Ahmaditeshnizi, W. Gao, M. Udell, OptiMUS: Scalable optimization mod-
512 eling with (MI)LP solvers and large language models, in: Proceedings of the
513 41st International Conference on Machine Learning, Vol. 235 of Proceedings
514 of Machine Learning Research, PMLR, 2024, pp. 577–596.
515 URL <https://proceedings.mlr.press/v235/ahmaditeshnizi24a.html>
- 516 [21] B. Zhang, P. Luo, G. Yang, B.-H. Soong, C. Yuen, OR-LLM-Agent:
517 Automating modeling and solving of operations research optimization
518 problems with reasoning LLM, arXiv preprint arXiv:2503.10009 (2025).
519 doi:10.48550/arXiv.2503.10009.
- 520 [22] Y. Quan, Z. Liu, InvAgent: A large language model based multi-agent system
521 for inventory management in supply chains, arXiv preprint arXiv:2407.11384
522 (2024). doi:10.48550/arXiv.2407.11384.
- 523 [23] Z. Ji, N. Lee, R. Frieske, T. Yu, D. Su, Y. Xu, E. Ishii, Y. J. Bang, A. Madotto,

- 524 P. Fung, Survey of hallucination in natural language generation, *ACM Com-*
525 *puting Surveys* 55 (12) (2023) 1–38. doi:10.1145/3571730.
- 526 [24] D. Prak, R. Teunter, M. Z. Babai, J. E. Boylan, A. Syntetos, Robust compound
527 Poisson parameter estimation for inventory control, *Omega* 104 (2021) 102481.
528 doi:10.1016/j.omega.2021.102481.
- 529 [25] M. Z. Babai, A. A. Syntetos, R. H. Teunter, Fifty years of inventory research
530 from a forecasting perspective, *European Journal of Operational Research*
531 331 (1) (2026) 1–20. doi:10.1016/j.ejor.2025.07.003.
- 532 [26] J. D. Croston, Forecasting and stock control for intermittent demands, *Oper-*
533 *ational Research Quarterly* 23 (3) (1972) 289–303. doi:10.1057/jors.1972.50.
- 534 [27] A. A. Syntetos, J. E. Boylan, The accuracy of intermittent demand
535 estimates, *International Journal of Forecasting* 21 (2) (2005) 303–314.
536 doi:10.1016/j.ijforecast.2004.10.001.
- 537 [28] S. Watts, G. Shankaranarayanan, A. Even, Data quality assessment in context:
538 A cognitive perspective, *Decision Support Systems* 48 (1) (2009) 202–211.
- 539 [29] M. Bijvank, I. F. A. Vis, Lost-sales inventory theory: A re-
540 view, *European Journal of Operational Research* 215 (1) (2011) 1–13.
541 doi:10.1016/j.ejor.2011.02.004.
- 542 [30] S. Axsäter, *Inventory Control*, 3rd Edition, Vol. 225 of International Series in
543 *Operations Research & Management Science*, Springer, Cham, 2015.
- 544 [31] L. J. Tashman, Out-of-sample tests of forecasting accuracy: an analysis
545 and review, *International Journal of Forecasting* 16 (4) (2000) 437–450.
546 doi:10.1016/S0169-2070(00)00065-0.
- 547 [32] H. Hewamalage, K. Ackermann, C. Bergmeir, Forecast evaluation for data
548 scientists: common pitfalls and best practices, *Data Mining and Knowledge*
549 *Discovery* 37 (2) (2023) 788–832. doi:10.1007/s10618-022-00894-5.

- 550 [33] S. Ouyang, J. M. Zhang, M. Harman, M. Wang, An empirical study of the non-
551 determinism of ChatGPT in code generation, *ACM Transactions on Software*
552 *Engineering and Methodology* 34 (2) (2025) 1–28. doi:10.1145/3697010.